Signal-to-Noise Ratio

THE SIGNAL-TO-NOISE RATIO is an engineering concept that focuses on the amount of useful information relative to false or useless data. This is an especially important concept for investors.

I constantly seek to reduce noise from my investing process. You should, too. We want less of the annoying nonsense that interferes with our thought process (and our portfolios), and more of the significant information that allows us to make good decisions.

Your goal: Become a less distracted, more purposeful investor.

This is an ongoing refinement process. Finding moments of quiet contemplation that allow me to think things through is an important aspect of my work. Uninterrupted time with no distractions—what some psychologists call "deep work"—is increasingly rare and all the more important for that reason. And I don't mean just quiet time in front of your computer screen—any activity that can get you out of your routine and provides an opening for deep thought (walking, hiking, yoga, even meditation) will help.

As a young trader, I would awaken at dawn when the house was quiet, and sketch out my thoughts on what was happening in the market/economy.[102] Articulating my perspective by writing was an enormous aid to my understanding. But it's mostly an editing process—I spend much of this quiet time deciding what is *not* worthwhile.

This is… liberating.

We are all distracted by minutiae. Most daily inputs—news, company releases, economic data, punditry—turn out to be distracting irrelevancies that do not affect our long-term portfolios. What is left after you remove these is almost all signal, no noise.

It is not an easy thing to do. Removing the noise is a fight against our most